Specimen of Payroll

Name	No. of worker	Rate	Total Hrs.	OT Hrs.	Wages	DA	Gross Wages	Deductions				Total Deductions	Net Wages
								ESI	PF	IT	Others		
		₹			₹	₹	₹	₹	₹	₹	₹	₹	₹
Total													

Prepared By ---------- **Checked By** ----------

DEBIT OR PAYMENT VOUCHER

Vinodh & Sons (P) Ltd.,
Gandhi Road, Chennai.

Voucher No. _____ Date: _____

Particulars	Amount ₹
Debit Account:	
Being the	
Total	

Sd/-
Manager

Sd/-
Accountant

7.5 Capital Expenditure

Capital expenditure is the amount spent on acquisition of fixed assets which include purchase of (1) Land and Buildings (2) Plant and Machinery (3) Motor Vehicles (4) Investments and (5) Patents and copyrights. The procedures in vouching various items of capital expenditure are as follows:

7.5.1 Purchase of Land and Buildings

Auditor should examine the title deeds and sale agreements of the property purchased. When assets are purchased on leasehold basis, lease agreement should be verified with regard to lease rent, period, terms and conditions etc., In case of purchase of freehold asset, auditor should examine the correspondence directly from the seller. He should ensure that all expenses incurred in connection with purchase of a asset like auctioneers commission, brokerage, architects fees, registration fees and legal charges are capitalized. He should also vouch all such payments with reference to receipts. When asset is purchased through broker, the auditor should verify the brokers note. When asset is purchased in auction, the account submitted by the auctioneer should be examined. Similarly,

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